

GENI · FY2025 Q4

Genius Sports Limited · 69 turns · 10 participants

CAST (IN ORDER OF APPEARANCE)**Operator**

Conference Call Operator

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Analyst, BTIG

Jordan Bender

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Mark Locke

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Analyst, Macquarie

Jason Bazinet

Analyst, Citi

Josh

Chief Media Officer

Ryan Siddle

Analyst, Craig Hallam Capital Group

OPERATOR Conference Call Operator

Hello, everyone. Thank you for joining us and welcome to the Genius Sports fourth quarter 2025 earnings results. After today's prepared remarks, we will host a question and answer session. If you'd like to ask a question, please press star one on your telephone keypad. To withdraw your question, please press star one again. I will now hand the call over to Brandon Buxtel, head of investor relations. Please go ahead.

BRANDON BUXTEL Head of Investor Relations

Thank you and good morning. Before we begin, we'd like to remind you that certain statements made during this call may constitute forward-looking statements that are subject to risks that could cause our actual results to differ materially from our historical results or from our forecast. We assume no responsibility for updating forward-looking statements. Any such statements should be considered in conjunction with cautionary statements in our earnings release and risk factor discussions in our filings with the SEC, including our annual report on Form 20F filed with the SEC on March 14, 2025. During the call, management will also discuss certain non-GAAP measures that we believe may be useful in evaluating Genius' operating performance. These measures should not be considered in isolation or as a substitute for Genius' financial results prepared in accordance with U.S. GAAP. A reconciliation of these non-GAAP measures to the most directly comparable U.S. GAAP measures is available in our earnings press release and earnings presentation, which can be found on our website at investors.geniussports.com. With that, I'll now turn the call over to our CEO, Mark Locke.

MARK LOCKE Chief Executive Officer

Good morning everyone and thank you for joining us today to discuss our Q4 results. On today's call, we'd like to cover three topics. First, we will take a moment to highlight the strong Q4 and full year results, which we pre-announced last month. There are two main takeaways from our 2025 results. Revenue growth of 31% is our strongest annual increase since 2021, and our full-year 20% adjusted EBITDA margin is our highest annual margin. Second both the betting business and the media business are on great footing which enables us to reaffirm our 2026 guidance of continued top line growth and margin expansion exactly in line with what we communicated on the investor day in December and pre-announced last month and finally I want to provide additional perspective on our recently announced acquisition of Legend addressing directly the key questions raised by investors and discussing the confidence we have in the financial

and strategic rationale of the transaction. I will come back to this later in the call. But first, I will turn to Brian to discuss our financial results.

BRIAN Chief Financial Officer

Thank you, Mark. First, we achieved group revenue of \$669 million in 2025, representing 31% growth, as Mark said, our strongest annual increase since 2021. This translated to \$136 million of group adjusted EBITDA, representing a 20% margin. Also, as Mark highlighted, our highest annual margin as a public company. Group revenue growth was well balanced across betting and media. Betting revenue increased 33% in 2025, marking its strongest year since 2021. Our first year with exclusive NFL data rights. Our strong betting revenue was primarily driven by growth with existing customers who benefit from the increasing suite of innovative products, such as BetVision, which is now available for NFL, Serie A, FIBA basketball, and dozens of other soccer, tennis, and esports competitions. BetVision is consistently increasing engagement and driving greater in-play wagering for our sportsbook partners, so we are excited to continue expanding our coverage. 2025 marked another strong example of our ability to outpace the 24% growth of global online sports betting, GGR, further demonstrating our consistent and predictable commercial model. Our media business delivered a strong performance in 2025, increasing 37% to \$144 million. This represents our strongest annual growth since 2022, supported in particular by execution in the second half of the year, where revenue nearly doubled compared to the second half of 2024. While our fourth quarter delivered exceptional results, we do not expect that exceptionally high growth rate to continue. The second half benefited from a combination of new partner launches and market conditions that created a particularly strong comparison period. As a reminder, we are also making certain changes in how we recognize revenue in the media segment, transitioning some arrangements from gross to net reporting. This will impact reported top line growth rates, but is expected to improve our margin profile and better reflect the economics of those contracts. We continue to partner with some of the world's largest advertising agencies, including PMG, Publicis, and most recently, WPP. We're also partnering with the largest independent supply-side platform, Magnite. This partnership embeds our real-time sports signals directly into Magnite's platform, allowing advertisers to activate against official, real-time sports moments inside a scaled programmatic infrastructure. Importantly, this places Genius directly in the flow of billions of dollars in advertising spend. Additionally, we recently partnered with NBC Sports regional networks to power AI-driven augmented advertising across 600 live NBA games. Genius IQ turns real-time moments into premium data-driven sponsorship inventory integrated directly into the broadcast. As you can see, Genius Sports is deeply embedded in the media infrastructure, controlling several of the monetization layers within live sports, a category that has quickly become a priority for the biggest brands and agencies. Overall, we are encouraged by the momentum in media and the progress we have made in demonstrating performance outcomes for partners. And lastly, it's worth highlighting the diversified growth by geography. While the Americas accounted for most of our growth this year, up 41%, our established European markets also delivered strong performance, with growth exceeding 20% in 2025, up from 15% in 2024. We expect this momentum to continue into 2026. As we said last month, We expect the organic business to generate between \$810 and \$820 million of revenue and \$180 to \$190 million of adjusted EBITDA. This represents growth of 22% and 36% respectively, right in line with the expectations from our investor day and balanced across betting and media. On a related note, beginning in 2026, we will report revenue across two product groups, betting and media, which more closely reflects how we operate the business today. Our existing sports technology revenue will be allocated across these groups, based on a thoughtful assessment of where each technology application is best suited to sit. To support this transition, we have included historical quarterly financials in the appendix recast under the new reporting structure. And finally, we expect the addition of legend to be immediately accretive to this guidance post close in q2 of this year. On an annualized basis, we expect the combined entity would achieve group revenue of 1.1 billion group adjusted EBITDA of \$320 to \$330 million, with group adjusted EBITDA margin of approximately 30% and free cash

flow conversion of approximately 50%. This is an acceleration of our financial targets by two years. And on that note, I'll now turn the call back to Mark to discuss Legend in more detail.

MARK LOCKE Chief Executive Officer

Thanks, Brian. Before we conclude, I want to speak clearly and directly about our acquisition of Legend. Legend is not simply just a media business. It's a technology company that's built around large, loyal sports and iGaming audiences. Legend operates an audience monetization platform that's built off of two decades of technological investment. This is where the value of Legend's business is. Legend's Tech Engine captures how users engage with content in real time. This content is not static information pages. They are environments that are built for participation around live sporting gaming experiences. For example, a user may analyze real time data in a community discussion around a major sporting event. Repeatedly explore new online casino titles. demoing the ones that best suit their taste, or follow specific personalities tied to teams or games, celebrating the latest win or jackpot. These actions ultimately generate rich signals of intent inside environments designed for repeat interaction. Legend uses these signals to continuously upgrade the experience and recommend personalized transactions. When a user ultimately completes a transaction with a gaming operator or bookmaker, that outcome feeds back into the system. Over time, Legend's models get better at understanding which engagement patterns lead to action, and Legend can rapidly optimize commercial models. That feedback loop is where long-term value is created. It's not about answering factual queries. It's about facilitating participation inside owned environments and continuously improving the economics behind it. This technology is the result of 20 plus years of development and data training and over \$300 million of invested capital. Outside of Legend's own properties, the application of this technology carries enormous value to third parties. In one example, a well-known brand in the gaming industry integrated Legend software into its own digital properties and within six months experienced a 50% uplift in revenue from higher conversion. This plug-and-play model is also proven with brands like Sports Illustrated and Yahoo Sports, just to name a few. When combined with the reach and distribution of Genius' network across the sports ecosystem, This can potentially be scaled and replicated hundreds of times. More on this later when we would discuss revenue synergies. The value of this technology is further enhanced by engagement metrics on side 12. Legend has created a natural organic destination for high quality users who deliver long term value for operators. In fact, one of legends top customers. A well-known global operator has reported that customers acquired through Legend have a 60% higher value after one year compared to all other customer acquisition channels. Because of the value that Legend delivers to its customers, they command premium economics. There are four key components of its commercial model. First is sponsorship and ad placement. Operators pay a premium to have prominent placement on Legend's properties because they want to be upfront and centre to reach high intent users. Second is upfront commitments. When a user makes a first deposit, Legend gets paid. Third is revenue share. Legend delivers quality users with long term value. Once acquired, Legend shares in the operator's revenue from those users every time that they play the casino or bet on sports. And in many cases, Legend shares its revenue in perpetuity through lifetime revenue share contracts. This results in high quality, predictable and reoccurring revenue. Next, I want to be explicit about the comparison to traditional affiliate businesses. We understand that the word affiliate has been the simple default comparison, but that framing misses what actually drives Legend's model. The key issue isn't the monetization label, it's traffic durability and depth of engagement. Traditional affiliate models rely heavily on SEO and paid marketing, often spending between 30 and 40% of revenue to sustain traffic. Legend spends approximately 5% because its traffic is direct and repeat. Engagement is technology driven, optimised in real time and built on owned environments. That creates durable economics. The metrics very clearly speak for themselves. Look no further than the data sourced from SimilarWeb, comparing session depth and session time across legend properties. As you can see, this level of engagement is more comparable to a Booking.com or FanDuel, rather than a simple odds comparison website, or even the digital properties of the most popular sports leagues. Again, we'll revisit this when discussing revenue synergies. The

last point that I'd like to address is the risk of disruption from AI, LLMs or changing search algorithms. This is yet another key difference from a traditional affiliate business, which often rely heavily on search engine. If search visibility changes, their traffic can disappear. Legend is different. Engagement is reoccurring. Revenue is diversified across operators and geographies and tied to lifetime value, not one-off clicks. The economics are built on participation, not page views. That participation takes place across a wide range of experiences. Everything from tournaments to live dealer streams, community engagement and more. These are all deep, immersive experiences that cannot be replicated by LLMs. So if you believe AI will make this kind of business obsolete, you should consider this. AI actually makes this model more valuable, not less. As LLMs commoditise information retrieval, Competitive advantage shifts to owning environments where 118 million users actively participate and to the proprietary intent signals that those interactions generate. Generic answers are free. Proprietary behavioral data is not. Over the past decade, digital businesses have moved from monetizing attention to capturing intent. Advances in AI accelerate that shift, enabling better prediction, deeper personalization, and more efficient commercial outcomes. In sports and iGaming, this transformation is now happening in real time. Legend operates at the precise moment when participation turns into action. Based on this, we are very confident in Legend's proven business model. Our 2028 guidance is underpinned by the predictable operating leverage and increasing cash flow that both legend and genius can achieve independently. The combined business is expected to sustain 20% revenue growth, strong EBITDA margins and over 50% free cash flow conversion and growing. A financial profile that is rare in public markets. And this is before we account for any synergies. We have identified four specific revenue synergies that we believe are executable immediately post-close and capable of driving incremental upside beyond our 2028 increased guidance. The first is customer cross-sell. Genius Sports official data rights and product suite will sit alongside Legends scaled high intent acquisition funnel. This unites premium content with proven customer intent. Upon closing, we can activate cross-sell across our sports books and gaming relationships, improving acquisition efficiency and increasing customer lifetime value. Importantly, this positions Genius to participate in the large and growing iCasino market, expanding our total addressable market by approximately 70%. In addition, players who engage in both iCasino and online sports betting are estimated to be roughly 15 times more valuable to operators than sports-only bettors. This places Genius at the centre of our partners' highest value customer acquisition efforts. Next is monetisation of a combined audience asset. Legend will materially expand our first-party audience reach. Combined with Genius Sports proprietary data graph, this creates a scaled privacy compliant audience asset that can be activated across the advertising ecosystem. This is expected to drive higher yield on traffic already within our control and allows Genius to bring a unique and powerful audience graph to other leading ads driven platforms. In other words, Legend further strengthens our value to brands and agencies. We know who the fans are. We know when and we know where they're engaged. And we are activating them at scale through FanHub and in partnership with large global agencies like Publicis, WPP and PMG. Third is scaling Legends technology across leagues and teams to monetize their underutilized digital assets. Legends technology platform has demonstrated its ability to drive engagement and conversion across owned and operated properties. If you recall the similar web data, many of our 400 plus league and team partners face the same structural need to better understand and monetize their fan audiences. Applying Legends platform across our rights portfolio will extend the Genius model from data capture and distribution into audience activation and conversion. This shift is from selling audience access to selling influence over identifiable individuals whose behavior and propensity are measurable. And finally, we'll be able to distribute Geniuses data and products through Legends channels. We have spent years embedding Genius data and products across the global sports ecosystem, from bet vision to broadcast augmentation and integrity services. Legend will provide a scaled, high-traffic distribution service. Integrating our data and product suite will further strengthen Legend's acquisition funnel while expanding the commercial distribution of Genius' assets. As we execute, we will quantify the impact of these four opportunities with discipline. We are confident that this combination will enhance both the growth rate and the cash flow profile of the business relative to our standalone trajectory. In the meantime, I will leave you with this final thought. The

future economics of sport will be determined by the infrastructure through which fan participation flows. At its core, that infrastructure is shaped by three elements. Official data, authenticated identity, and intent at the moment of transaction. Together, Genius and Legend operate across all three layers. This acquisition is a deliberate acceleration of the strategy that we outlined at our Investor Day and have been executing for years. By integrating data, identity and intent at scale, we're positioning Genius to capture a greater share of the economic value flowing through global sports and gaming. We have proven our ability to execute, and with this added scale and capability, we will have a business that we believe is built to continue that track record of execution and compound value for years to come. And on that note, we'll now open the line to Q&A.

OPERATOR Conference Call Operator

We will now begin the question and answer session. Please limit yourself to one question and one follow-up. If you would like to ask a question, please press star 1 on your telephone keypad. To withdraw your question, please press star 1 again. Please pick up your handset when asking a question, and if you are muted locally, please remember to unmute your device. Please stand by while we compile the Q&A roster. Your first question comes from the line of Jordan Bender from Citizens. Jordan, we're just opening your line, and your line is now open.

JORDAN BENDER Analyst, Citizens

Good question. I want to start on free cash flow. That was, you know, as a whole, that was down in 25. If we think through the standalone business, How much investment or one-time costs are in that number that might have held back free cash flow growth in the year? And, you know, you just went through the investor day back in December. Can you just kind of remind us the leverage to organically increase free cash flow from here outside of the legend acquisition?

BRIAN Chief Financial Officer

Hey, Jordan, it's Brian. On free cash flow, as we had announced that \$281 million balance, and our focus is growing that year to year. As we defined it in Investor Day, we take EBITDA minus the cap software and CapEx and PP&E, as well as changes in working capital and taxes. And so for the year, that included some non-recurring exceptional legal expenses or litigation related. If you exclude those, and I think you can see that was about a \$30 million swing, The other thing we do adjust for is obviously M&A, like the Sports Innovation Lab acquisition, as well as the share raise, right? We don't want to take credit for that, nor on the M&A piece where those are longer-term strategic, and so one year may have a bigger investment into that. But that's how we think about the free cash flow and those one-time non-recurring impacted the year about \$30 million.

JORDAN BENDER Analyst, Citizens

Understood. Thanks. And I want to, you know, switch over to the media business for a second. I assume you're not going to give us the actual numbers here, but, you know, maybe holistically, how much contribution did some of the new media agreements with like PMG and Publicis kind of add to the total growth in media in the back half of the year?

BRIAN Chief Financial Officer

Those scaled up and they're early into the, you know, we just announced those. And so those do take some time to ramp and work with them on onboarding clients and campaigns. So fairly muted, if any impact on those. Understood. Thank you very much.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from Jed Kelly from Oppenheimer and Co. Incorporated. Jed, your line is now open.

JORDAN BENDER Analyst, Citizens

Hey, great. Thanks for taking my question. Can you just give us an update on how partner conversations are going, particularly your media partner, your media agency, following the Legends acquisition? And then just as my follow-up question, you know, you did mention, you know, expect some moderation of growth in the second half of the media business. However,

JOSH Chief Media Officer

advertising around prediction markets just given what all the bigger players are saying so can you talk about how much you've embedded that in your guide thanks hey jose it's uh josh here um yeah so on uh our sort of media growth uh we on the sorry on the um let me take it in reverse order. On the prediction market piece, we are already seeing spend flowing through from advertisers activating in that space. That is through the sort of historical genius media business as well as obviously when ledging closes, we'll have access to the activity that they're running there as well. So we expect to be able to capitalize on the spend boom around prediction markets as we already have with campaigns out in market. Now you're seeing a lot of the offer part of that. In terms of the other sort of media partnerships and conversations that are taking place, if you're keeping track of the big agencies that are out there, like we've knocked a few down, there's a few more to go, all of those are progressing nicely. And I think the Magnite announcement yesterday is a testament to the ecosystem buying in onto sports media and people starting to develop technologies on top of the building on top of official data and our fan graph.

MARK LOCKE Chief Executive Officer

Thank you. It might be worth just taking a few minutes to just explain that Magnite presentation in a bit more detail and sort of talk them through how the economics work and why it's important and all those things.

JOSH Chief Media Officer

Yeah, I mean, the way to think about our genius sort of sales channel for the media business is there's two parts in this brands and agencies world. We have a genius direct sales team where we're out working with these agencies, working with their clients, responding to large campaign briefs. And then essentially what we're establishing is a distributed sales channel through the ad tech ecosystem where we're surfacing all of the genius data and audience intelligence that the agencies are buying from us. But we're bringing that into the ecosystem where there is already scaled demand of billions of dollars and allowing our partners and their sales teams to take the genius offering out to market.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from Bernie McTernan from Needham. Bernie, your line is now open.

JORDAN BENDER Analyst, Citizens

Great. Thanks for taking the question. Maybe a good follow-up to that one. At the Investor Day, there was a target of slightly more than half of the \$500 million in total ad spend for media coming from self-service. How do you think this is going to break down between agencies and other ad tech players like Magnite? Are there any other buckets that are in there that are large that we should be aware of? And then I have a follow-up.

JOSH Chief Media Officer

Sure. It's hard for us to give an exact number on that at the moment because everyone in the industry works together, right? So an example is we might be working with Coca-Cola. That demand can come direct from the agency as part of a specific brief, but it can also come from other activity via the ecosystem. So our goal here is to capture as much

demand flow as possible across the ecosystem. by covering both the direct relationships with agencies as well as building into the ad tech ecosystem. So we're sort of indifferent where the spend comes from between those channels. Our goal is to be distributed as far and wide as possible. And as time goes, we'll be able to get more accurate on exact splits across those sales channels. Understood.

JORDAN BENDER Analyst, Citizens

Thanks, Josh. And then as a follow-up, I believe the expectation is that betting tech revenue should grow faster in the first half of the year versus second half of the year. Can you just provide any commentary on how we should expect rights costs to grow, maybe on a full-year basis and the sequencing between the first half and the second half?

BRIAN Chief Financial Officer

Yeah, on the rights growth, and you saw some of the year-to-year impact. You know, remember we onboarded or acquired Syria and EPFL in late summer, so that influenced Q4 and will influence the first half of the year. The other is also the first year of our new term on the EPL. So that impacts the first half of the year, as well as Q4. But that is all phasing and, you know, inside of the strong guide we have for 26. Okay. Understood. Thank you.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question is coming from the line of Ryan Siddle from Craig Hallam Capital Group. Ryan, your line is now open.

RYAN SIDDLE Analyst, Craig Hallam Capital Group

Good day, guys. March Madness, you guys have been partnered with TMCA for many, many years. You got the exclusive distribution last year. Curious how you think about March Madness this year from a betting standpoint and then separately also from a fan hub ad tech standpoint. And then maybe last point to that, also if that vision is potentially an opportunity there.

JOSH Chief Media Officer

We see March Madness as a big opportunity. I think we expect consistency with what we've seen across the betting business in previous years on betting activity for March Madness in line with market growth and things like that. On the advertising side of the business, the fact that we've brought our Moment Engine to market now with the first sort of major event where that's been widely available is going to be March Madness. So it's sort of early days there, but we're expecting to, we're essentially expecting it to be the first time that we're leveraging the official data feed in the advertising environment to power all this stuff. So we expect to pick up a few sort of test campaigns, this is our first year with it, with us going harder next year across March Madness.

MARK LOCKE Chief Executive Officer

It's also an interesting test as well because this is incremental revenue that's going to be monetized across multiple distribution channels for us with no additional rights fees. So I think from that point of view, it's quite a powerful endorsement of the strategy that we've been outlining over the last few years.

RYAN SIDDLE Analyst, Craig Hallam Capital Group

And for my follow up, just a quick one for Brian, maybe how to think about litigation costs as we head into 2026, just given that was a pretty big one time in 2025. Thanks.

BRIAN Chief Financial Officer

Yeah, you know, we will in our 20F do the update on any litigation related activities ongoing there. You know, those are And, you know, far be it for me to comment here. But as we say, we are focused on growing that cash balance year to year. And to the extent those drives swings, we will communicate that as such when we know it. Fair enough. Thanks, guys. Good luck.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from Clark Lampin from BTIG. Clark, your line is now open.

CLARK LAMPIN Analyst, BTIG

Thanks for taking the question. Maybe we could take a step back around the media business and agency relationships. So for a lot of us that are newer to this component of your business and it's a very rapidly growing one, maybe similar to, Mark, what we did with Magnite a moment ago, we could take a step back and you could talk about, you know, for a lot of us that are trying to digest and sort of synthesize a lot of this information down into an Excel model, how do these relationships work and evolve over time and how are they augmented by a lot of the things that you're doing, you know, with augmented advertising, but maybe just, I guess, from a practical standpoint, you know, you're clearly going after more of the agency holdco ecosystem right now. You do have relationships with two of the big five. I'm sure, you know, the count will grow as we think about, you know, the impact on your business. Maybe you could give us like a 101 of sorts, I guess, if possible.

JOSH Chief Media Officer

Hey, Clark. It's Josh here. So I'm happy to talk this through. So the way in which we are building our advertising business here is, as I said, sort of twofold from a sort of channel perspective. perspective us going direct to the agencies and brands the second is going into the ad tech ecosystem but our ethos is the same across both which is for genius to be the infrastructure layer for all sports media and the way in which that is um being commercialized and built into the industry is essentially we are taking media packages out to the market in the form of what's called a curated deal in a lot of instances and what a curated deal is is a package that contains audience data so this is all of our fan graph and understanding fans and it contains inventory and that inventory can be inventory that genius owns ourselves like bet vision inventory and augmented ads but it can also be third-party inventory from anyone in the ecosystem and then what sits on top of it now is our moments engine and that moments engine is something that we've developed and we have used service business. But what you're now seeing is us externalizing our intelligence layer and our audiences and our inventory so that anyone can transact on it. And the workflow of how that happens is we basically bundle those things together based on a brief from an advertiser or an agency, and we give them a unique sort of code that they will then punch into any of their buying platforms in order to transact on the audience and media. And over time, what happens is you get a sort of portfolio of curated deals where there is just money flow going from all of these campaigns and advertisers across the ecosystem, across genius audience and an inventory and what happens as we continue to expand the media business is you get two things you get an increased number of active deals out in the market of us tapping into demand flow but you also have as genius acquires and builds more unique inventory we will move that inventory into those deals which allows for revenue and margin expansion as well so this sort of two growth levers in that. It's more deals out in the marketplace but it's also more scale of our inventory within those deals.

MARK LOCKE Chief Executive Officer

Very helpful, I appreciate you laying it out. You might want to give them a bit of a download on how the actual media buyers work, what they actually do, and how that effectively, how we see that evolving into a new display.

JOSH Chief Media Officer

That's an interesting thing too. Sure, happy to. A lot of these buyers in the agencies will rebuying across multiple platforms, multiple advertisers, right? And as they continue to expand their campaigns, what they tend to do is they tend to duplicate campaigns over time, which means our deal IDs get carried across. And that's sort of the building blocks of having them continuing to be live, right? And the other thing I just want to touch on on these building blocks of the media business is obviously the legend acquisition and some of the rationale around that. Because what we gain from legend is obviously we gain a whole new host data that can be fed into these curated deals to help them perform better and to help us respond to a wider variety of campaign briefs. And of course, coming back to that piece I said around unique inventory, as we create more unique inventory with the Legend tech stack, we're able to feed that into the deals to help monetize it. So we have an instant monetization path as we expand the Legend technology portfolio.

CLARK LAMPIN Analyst, BTIG

Really helpful. And if I could just ask a very quick follow-up on Legend, it feels like you guys have a couple of opportunities that feel like they're going to be potentially more rapid in terms of things you can address that would augment the revenue stream for Genius or Legend independently, applying some of the Legend tech to your properties, bringing new properties to market, backlog monetization. As you think about sort of 3Q and 4Q, maybe this is a question for Brian or Josh, which of those feel, I guess, like the sort of lowest hanging fruit or potentially easiest ones to address per se? Thanks a lot.

MARK LOCKE Chief Executive Officer

Sorry, can you just say the end of that again? Sorry, we missed it.

CLARK LAMPIN Analyst, BTIG

Yep. So there's a couple of levers, I guess, for revenue synergies with legend tech application to genie properties, expansion of sort of genie and legend properties, and then backlog monetization. I'm curious, as we think about the second half of the year, is one or sort of all of those, or would you drill down on one as more addressable or potentially more accretive in 2026? Yeah.

JOSH Chief Media Officer

The revenue synergy that will have the most immediate impact is the cross-sell of the existing customer base. But then from a technology perspective, it's the access to the audience data that we have through the legend stack. You saw it in the Magnite announcement yesterday. As soon as the deal closed, we expect that audience data to be flowing through to help power the moment engine. I'd say the revenue synergies with slightly longer tail is the time there is a bit longer, there's an immediate opportunity, but the time to get that done and out in market has a slightly longer lag than sort of audience data being integrated.

MARK LOCKE Chief Executive Officer

And just since this question has become a bit more of a teach-in than a normal question, it's probably worth sort of bringing it back to our core business as well. So one of the immediate applications of the Legend engine is going to be the implementation of it in BetVision. And if you remember, going back to our original economics, we get paid three times the amount of money for in-play betting. We're obviously driving BetVision very aggressively through all of our sports books that we're doing deals with. We've now got knocking on the door of 25,000 events. All of those services that BetVision presents as a layer to the customer is going to be touched by the Legend engine, at which point we're going to be optimizing our BetVision property in real time to maximize the commercial returns that we're getting on it. In terms of the sort of three times the amount of money we get paid on in-play. So we're hoping to see fairly quick

acceleration and increase of the proportion of in-play betting that's coming through the business. And again, reminding people, I think we're a bit over 30% of the market's in-play betting at the moment. You know, you look at Europe, again, it's going back to what we've been saying for years, it's 70, 80% in some cases. So we expect to be able to accelerate that 30% towards the levels that we're seeing in Europe more quickly, which then gives us that compounding effect on the revenue shares that we're getting. Thank you.

OPERATOR Conference Call Operator

Thank you for your question. Your next question comes from the line of Eric Handler from Roth Capital. Eric, you're live. Thank you very much.

JORDAN BENDER Analyst, Citizens

Thank you very much. Good morning. Two questions. First, with regards to advertising inventory and the importance there, you know, you've got a good amount of first-party inventory. You've got some third-party inventory with Yahoo Sports and NSI. Do you have enough inventory at this point to achieve your financial targets, or will you need more inventory and, you know, are you talking to any new needs or teams about that inventory?

JOSH Chief Media Officer

The short answer is we always want more unique inventory because it gives us a competitive moat in the ecosystem. Do we need more unique inventory in order to deliver on our numbers? not necessarily like the beauty of the moment engine is that we're able to apply those models across our own inventory as well as their parties so what we're seeing is we're having you know a number of premium publishers reach out to genius saying can they run their mo can they run our moment engine across their inventory and that again brings us back into the demand flow so We always want more unique inventory. It gives us a more competitive offering. Do we have to have more in order to get to where we want to? Not necessarily. We have other ways to commercialize our media product portfolio.

MARK LOCKE Chief Executive Officer

I'm sure it's not missed. Legend gives us a massive, massive, massive amount of unique inventory that we own and control.

JORDAN BENDER Analyst, Citizens

That's helpful. And then with regards to BedVision, I think you said you're now around 25,000 events. How much more do you think that could grow to over the next, let's say, 12, 18 months? And what other sports are you looking at for Bet-Vision?

MARK LOCKE Chief Executive Officer

Sorry, can you just repeat that again? The line wasn't great for us again.

JORDAN BENDER Analyst, Citizens

With BetVision, you said you're now around 25,000 events. And as you look out over the next couple of years, where do you think that number can go to and what sports do you think you can add?

BRIAN Chief Financial Officer

Yeah, Eric, I think in the materials, we mentioned 300,000, big driver of that difference is esports. competitions, but you know, we recently added tennis, we continue to build out even across FIBA basketball and others. So, you know, we're always as Josh said, looking for more ways to exploit it and grow our own and operated inventory. So there's

definitely more upside there. But, you know, even the eSports thing is an easy bolt on and delivered significant number of events.

JASON BAZINET Analyst, Citi

Thank you.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from the line of Trey Bowers from Wells Fargo. Trey, your line is now open.

JORDAN BENDER Analyst, Citizens

Hey, guys. Thanks for the question. Any chance you could just dig in a little bit? Again, another Pet Vision question on what you learned from this most recent NFL season, just around engagement, interaction, kind of how that progressed as the season went on. any metrics you guys could provide us would be super helpful in kind of understanding the opportunity and what you've learned thus far. Thanks.

BRIAN Chief Financial Officer

We continue to see year-over-year engagement and improvement there on NFL. You know, in the natural ramp of getting it launched and implemented and as – Players and fans and bettors get more familiar with it. They do spend more time with it. So we continue to see the ramp there. And, you know, as we say, if we keep adding more events, then we can build in more repeat visits with longer session times. I think also we saw a 32% increase in unique plays on NFL and 62% across football. Soccer.

JORDAN BENDER Analyst, Citizens

Great. And then just to follow up a question for Brian, I guess, there was a question about kind of one-time legal costs, and you would say you'd address them as that comes up. But at this point in time, any sense of what one-timers might look like for 2026 free cash flow, just so as we go through the year, we're not kind of caught by surprise? Obviously, I would assume you already know some sense of what the kind of M&A costs would be. But anything you guys know at this point in time that we should think about? for free cash flow impacts for the year? Thank you.

BRIAN Chief Financial Officer

Not at this time. I mean, we, again, are focused on continuing to grow that year-to-year balance. We've given the annualized impact of the pro forma business, which is strong in getting to, you know, the 30% EBITDA margin on an annualized basis with near 50% free cash flow conversion. It would be too early to say, you know, would there be any one-timers to articulate today? Not yet, no. Okay, thank you.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from the line of Barry Jonas from Truist. Barry, your line is now open.

JORDAN BENDER Analyst, Citizens

Hey, guys. Wanted to go back to Legends. Can you just maybe talk more about the reaction of your lead partners to the deal and maybe specifically address Legends' work with prediction markets and sweepstakes and the comfort level there? Thank you.

MARK LOCKE Chief Executive Officer

Yeah, I think there's sort of two distinct parts to that. I mean, the reaction of our lead partners to having the ability to potentially drive their viewership wider and get the messaging out to a much larger audience that we control is obviously something very attractive. And, you know, it's something that was one of the big reasons and one of the big attractions for us to do it. If you're a league somewhere and you want to access a sports fan, say in North America, the chances are we have them and we can talk to them for you. And that's a very attractive thing to do. I think the prediction markets is separate to the league partners. I wouldn't conflate those two things. The prediction markets, as I think I said at Invest Today fairly recently, fairly repeatedly. And again, on some of the calls, we see the prediction markets, the advertising opportunity is quite significant. And clearly, from our point of view, with Legend as a sort of you know, in terms of taking marketing spend from the prediction markets. That's something that I think is pretty clear. But if you look at any of the sites where, you know, we've already got an eye on and it's something that we'll be focusing, you know, much more aggressively on over time. And, you know, on a more general point on prediction markets, you know, I think I think one of the questions I always think is interesting for you guys to ask yourselves is if you agree or not that as a result of the prediction markets, more people are making wages on sports in the United States. And I think if you sort of follow that logic, you know, that means that, you know, the answer is clearly yes. And that's clearly a good thing for our market, a good thing for the business. You know, it increases the TAM. And it means that there's going to be an increased requirement for the data, you know, not only on the marketing making side, but clearly from the prediction markets. And obviously, we're watching a very rapidly evolving regulatory transition there, which we, you know, which we think, you know, has got a fairly obvious outcome over the sort of medium term. You know, and again, from that, we've sort of seen this journey before. And, you know, if you look at the value of our data 10 years ago, it was a fraction of the value of our data now to sportsbooks. So, you know, on a general thing, we see the, you know, outside of the market expense that we've talked about and outside of the market making, which we've also talked about, we see that as a very interesting opportunity. You heard what Jason Robbins said on his call the other day. And so we see the opportunity to distribute our data whilst when regulation becomes more evolved to be a very significant opportunity for us. And clearly our data is needed.

JASON BAZINET Analyst, Citi

Perfect. Thank you very much.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from the line of Chad Benyon from Macquarie. Chad, your line is now open.

CHAD BENYON Analyst, Macquarie

Hi, good morning. Thanks for taking my question. Great to see that you guys continue to outpace the betting market. From a lot of your partners, we've heard about, you know, the high hold and kind of how that impacted lower volumes across the NFL this season. But wondering if you can talk a little bit about, you know, what you're seeing from an engagement standpoint, if this worries you at all that, you know, some of the volumes have decelerated. Do you think it could be a concern in how this fits into your 26 guidance for the betting segment? Thank you.

MARK LOCKE Chief Executive Officer

Sorry, I didn't hear the last bit about concern. Can you just repeat that bit again?

CHAD BENYON Analyst, Macquarie

Sorry, if the volumes are a concern and if that could, you know, come in maybe below expectations for NFL for your betting business in 26.

MARK LOCKE Chief Executive Officer

Yeah, so just on that last point, I mean, the short answer is no, you know, and I think the proof is if you just look at our numbers, we're not seeing an impact on that and don't expect it to. You know, on a wider point, you know, you've got to remember we're a global business as well. It's, you know, we're not just, you know, US focused. We, you know, we have a very wide global reach. You know, the South American market is growing very quickly. European market is still growing nicely. um you know a lot of opportunities globally so so you know we're not particularly concerned about that at all we don't think that effect has us as we sort of said a number of times we see ourselves as the picks and shovels and we're sort of somewhat immune to that and i think that sort of segues nicely into sort of your original point which is you know we are um outpacing the global you know the global market i mean our genius global betting growth just remind people was 33 in 2025 our U.S. betting growth was 50% in 2025. And if you compare that to approximately 30% in the U.S. market, I think that says an awful lot about the messaging that we've been putting out into the market the last few years about how this is really a hedge from the sort of handle volatility you may see in the U.S. market as things evolve. And I think the reasons for this is you know, pretty clear. We've got, you know, additional products, you know, BetVision, InPlay, you know, we've got, you know, increasing content, things like Serie A, EPFL, and clearly we're also taking price. So I think all of those things, all of those things, you know, are sort of proving out what the things that we've been saying over the last few years about our ability to run a sustainable and stable, predictable business in the sector.

CHAD BENYON Analyst, Macquarie

Thanks, Mark. And then Brian, just a housekeeping item. What are the final steps in terms of closing the legend deal? I believe you said Q2 is pretty imminent here, but just wondering what needs to be finalized before that comes across the line. Thank you. Yeah, simply it's regulatory approval. Thank you very much.

OPERATOR Conference Call Operator

Thank you very much for your question. Your next question comes from the line of Jason Bazinet from Citi. Jason, your line is now open.

JASON BAZINET Analyst, Citi

I just had two quick questions. You mentioned migrating from gross to net revenue recognition, and I just wonder if you could confirm that that was already contemplated in the guide, since you didn't change the guide. And when does that go into effect, and what's the magnitude of that adjustment?

BRIAN Chief Financial Officer

I got you off mute. Jason, that is in the guide. We spoke about that in Investor Day as well. And as Josh said, some of these curated deals can include, you know, placing, using our IDs and our Moment engine on third-party engines or sell-side platforms that we're plugging into. And so there, it's a lower take of the overall campaign, but higher margin. That's That's what we mean by that, but it is in the guide from Investor Day, and it's in the guide from a month ago and today in regards to 26 and 28.

OPERATOR Conference Call Operator

Great. Thank you. Thank you very much for your question. Your final question comes from Greg Gibbous from Northland Securities. Greg, your line is now open.

JORDAN BENDER Analyst, Citizens

Great. Thanks for taking the questions, guys. I wanted to maybe get a little bit more color on Legend's kind of revenue breakdown in a way in terms of, you know, how much is maybe derived from media or advertisement placements versus kind of the revenue share and, you know, lifetime revenue share model.

MARK LOCKE Chief Executive Officer

Yeah, I mean, roughly speaking, it's about 50-50.

JORDAN BENDER Analyst, Citizens

Okay, fair enough. And I apologize if you mention this, but how do kind of self-serve versus managed training Q4 versus prior periods?

JOSH Chief Media Officer

In terms of the split between it, I mean, self-serve is still a much smaller share of the revenues. You have to think about it. A lot of growth revenue that we are adding is coming out of the – It's still relatively in its early days. As we said, we're talking about curation and building that up. It takes time to build that portfolio up. So in Q4, we still had a decent amount of sort of managed service business as we picked up scatter budgets at the end of the year. So as we build more sustainable growth over the long term, it'll be sort of building blocks of distributing those curated deals and slowly the mix between managed and self shift. Got it. Thank you.

OPERATOR Conference Call Operator

Thank you for your questions. There are no further questions at this time. This concludes today's call. Thank you for attending, and you may now disconnect.